

CLEVELAND WHISKEY

GLOBAL STRATEGIC PLAN / OUTLINE

Executive Summary

Cleveland Whiskey, an innovator in advanced technology and whiskey production, has established its reputation by transforming an industry resistant to change. Since its inception in 2013, the company has disrupted traditional distilling, aging and maturation methods, producing over one million bottles, gaining distribution in 20 U.S. states, and exporting to Europe and Asia. Cleveland Whiskey has also cultivated global recognition with 175 awards, including 85 gold, double gold, and “best-of-show” honors. Innovation is further evidenced by the scaling of production capacity, proprietary production technologies, U.S. patents, carefully secured trade secrets and registered trademarks.

Amid current challenges in the whiskey industry—marked by declining domestic, Canadian, and European demand, and the closure of many craft distilleries—Cleveland Whiskey has pivoted toward high-growth market opportunities in India while continuing to focus on innovation, adaptability, and sustainable competitive advantages.

Strategic Priorities and Goals

1. **Diversification to High-Growth Markets:** Cleveland Whiskey has identified India's vast whiskey market, which accounts for nearly half of global whiskey consumption, as a key opportunity. Challenges such as high tariffs and bureaucratic hurdles for imported products have been mitigated through the adoption of the Indian Made Foreign Liquor (IMFL) category.
2. **Focused Innovation for Market Advantage:** The company has developed proprietary technologies to create premium whiskey concentrates, significantly reducing production costs. These innovations help navigate barriers such as tariffs and shipping fees, making products more competitive versus international brands, while maintaining a high-quality flavor profile.
3. **Strategic Partnerships:** Cleveland Whiskey holds a 49% stake in Ella Spirits and Beverages Pvt Ltd—a marketing and distribution company based in India. This partnership has already led to measurable success by securing \$550,000 worth of contracts in Q4 of 2025 with projected growth into Southeast Asia and Africa.
4. **Sustained Adaptability:** Guided by strategies like Blue Ocean thinking and thought leaders such as Seth Godin and Malcolm Gladwell, Cleveland Whiskey has created a unique approach to remain agile and pull ahead of competitors.

Leveraging Technology as a Competitive Advantage

Cleveland Whiskey distinguishes itself through its patented advanced whiskey production technology and inventive spirit. By creating whiskey concentrates, the company significantly lowers costs while maintaining superior quality, capitalizing on scaling efficiency and market expansion opportunities. This capability enables Cleveland Whiskey to penetrate underserved and price-sensitive markets, while also offering an elevated whiskey-drinking experience to consumers.

Distribution and Sales Network

With IMFL as the core strategy for reaching India, the world's largest whiskey market by volume, Cleveland Whiskey has strategically designed its entry through equity partnerships with local distribution networks such as its collaboration with Ella Spirits and Beverages Pvt Ltd. The company utilizes its unique products, labeling them as "American Blended Whiskey" or "American Malt Whiskey," to comply with local regulatory frameworks, ensuring broader market reach. The early success in India in the final quarter of 2025 signals strong potential for expansion into Southeast Asia, the Middle East, and Africa in the next growth phase. Furthermore, Cleveland Whiskey remains committed to maintaining its U.S. market presence while growing international sales.

Investment and Growth Plan

The company's growth plan is segmented into phases to ensure carefully calibrated expansion. Between 2022 and 2025, Cleveland Whiskey utilized \$6.7 million in debt funding to purchase properties, upgrade utilities, and renovate production facilities. These efforts laid essential groundwork for scaling production and implementing innovative technologies.

A critical component of Cleveland Whiskey's strategic plan is the establishment of operations in Scotland. This move enables the company to produce a Scotch Whiskey Concentrate that will be integral in the production of Indian Made Foreign Liquor (IMFL). Scotch-based IMFL products dominate this lucrative market segment, dwarfing those produced with Bourbon and American Malt whiskey. The ability to supply this essential ingredient not only aligns Cleveland Whiskey with strong demand dynamics but also helps the company to reduce material costs by skillfully navigating tariffs and import fees. By leveraging Scotland's established reputation and resources in whiskey production, Cleveland Whiskey gains a competitive edge in meeting global market needs while enhancing its profitability and market presence.

Future funding goals aim to continue driving operational growth, with the focus on enhancing production capacity, refining technology, and capitalizing on revenue and profitability improvements. The company envisions the alignment of equity and debt, backed by increased cash flow and market expansion.

Looking ahead, Cleveland Whiskey has projected robust financial growth, with a compound annual growth rate (CAGR) of approximately 44% over the next 4 years. Revenue from its IMFL market penetration, bolstered by its partnership with Ella Spirits and Beverages Pvt Ltd, is expected to grow from \$830,000 forecast in 2026 to over \$37 million by EOY 2030.

Outlook and Path Forward

Cleveland Whiskey's vision remains to redefine whiskey production and distribution by leveraging its technology-driven efficiencies and diversifying into emerging markets. Despite turbulent industry conditions, the company is utilizing proactive strategies to drive growth with a forward-thinking approach that prioritizes adaptability, innovation, and scaling production capabilities.

With its tailored approach to the IMFL market, unique product offerings, and technology-supported cost efficiencies, Cleveland Whiskey is positioned as a global player, poised for steady revenue expansion and increased equity valuation. Through its planned operational improvements and growing IMFL market presence, Cleveland Whiskey aims to redefine and lead in a quickly evolving industry landscape.

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